

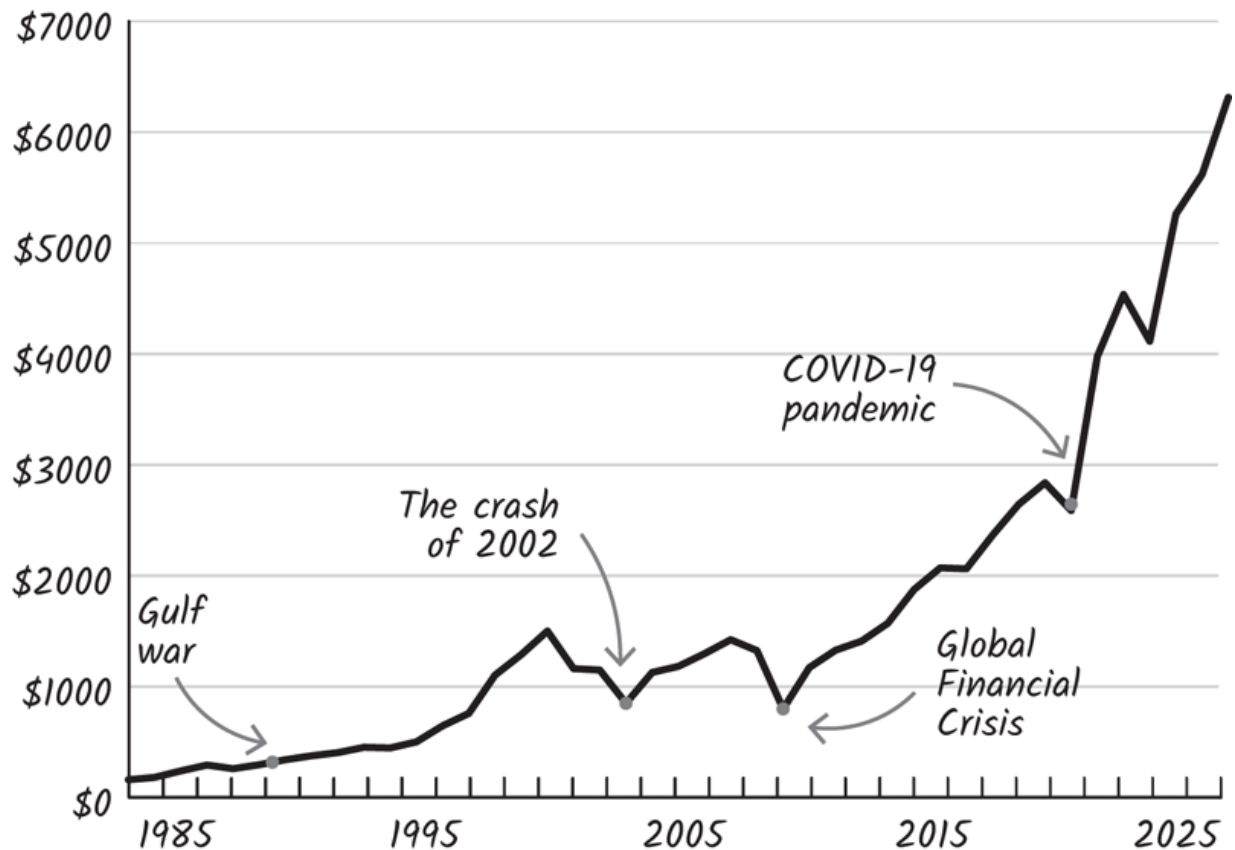


Figure 2.1: the last 44 years of the S&P 500

Source: Based on data from S&P 500 Index — 90 Year Historical Chart. Macrotrends LLC.

This graph shows the movement of the US stock market; it's the S&P 500 index (made up of the top 500 companies in the US at any given time, also known as a broad market index fund) over the last 40 years. See how the market goes up and down in the short term but in the long term has a trend upwards? Despite every single crash, whether it be the global financial crisis or the more recent COVID-19 crash, the market has always bounced back.

Let's dive into the biggest crashes in history and what we learnt from the mistakes of others.

The 1929 Wall Street Crash

The crash in September to October 1929 was when our good friend Walter tried to sell his yellow car. On 24 October, the market dropped 11 per cent. At the time, it was the largest crash the US stock market had ever seen. Its